but require much less from hedge funds, venture capital, private equity, brokers, and registered investment advisors.[456]

Silicon Valley, technology, and the venture capital business model do a better job with failures. Entrepreneurs and venture funders alike wear their misses like a badge of honor. Many venture capitalists even post their biggest fails on their websites. They recognize their model is to make a lot of losing bets in pursuit of finding the next humongous winner. Equity investors don't have quite the same model, but they would benefit from a similarly humble approach to recognizing their own limitations.[457]

The stigma surrounding failure needs to go. The surest way to avoid future failure is to embrace it and learn from past failures.

I learned to fail better from Ray Dalio. He is, by any conceivable measure, wildly successful. The founder of Bridgewater Associates (one of the world's largest hedge funds) is also one of the world's 100 wealthiest people.[458]

Bridgewater has been called the fifth most important private company[459] in America; his book *Principles: Life and Work* was a *New York Times* bestseller. Given all of these accomplishments, you may be surprised to learn that Dalio attributes the secret of his success to *failure*.

He started Bridgewater in 1974; eight years later, a new bull market was just getting underway. However, Dalio's research found problems in the credit markets. Earlier in the year, he had warned that emerging market bank debt could potentially pose a major risk to the economic recovery. When Mexico defaulted in August 1982, Dalio was hailed as an economic seer and market wizard.

His reputation grew, and in November 1982, he appeared on *Wall Street Week* with Louis Rukeyser, the most important financial news program of its time. Dalio "confidently declared we were headed for a Depression." But that's not what happened; months earlier, timely central bank interventions